YouMakeTV.ai

Executive Summary & Business Plan

The marketplace and streaming home for AI-generated films

Seed Round • June 2026 • Confidential
Companion documents: YouMakeTV_BusinessPlan.xlsx (full editable financial model) • YouMakeTV_Investor_Deck.pptx

1. Executive Summary

VISION

Every great film of the next decade won't come from a studio. AI has collapsed the cost of producing a watchable film from millions of dollars to hundreds. YouMakeTV will be the distribution and monetization layer for this new creative class — the Netflix-grade viewing destination, Steam-style marketplace, and YouTube-scale open platform for AI-generated film.

MISSION

Give AI filmmakers a place to premiere, get paid, and build studios; give audiences a curated way to discover an entirely new art form.

PROBLEM

- AI filmmakers have no economy: YouTube buries their work and pays $1–3 RPM; Prime Video Direct restricts AI content and is cutting royalties; Netflix won't take submissions; tool vendors (Runway, Pika, Sora) monetize creation, not distribution.
- Viewers have no destination: the best AI films are scattered across X, TikTok and YouTube with zero curation — finding the good 1% means wading through slop.

SOLUTION

A curated two-sided marketplace, live today as an MVP: creators upload films, trailers, art and pricing; every title passes a human-plus-AI review gate; viewers buy per film (avg $4.99) or subscribe to YouMake+ ($7.99/mo). Creator revenue share rises with success — 30% (Starter) → 35% at 1,000 paid views (Growth) → 40% at 5,000 (Pro) — the opposite of every incumbent, where success is taxed flat.

WHY NOW

Sora, Veo 3, Runway Gen-4 and Kling 2.x made coherent multi-minute AI films possible only in the last ~18 months. Supply is exploding while distribution infrastructure is nonexistent. Incumbents are structurally blocked (YouTube can't curate without breaking UGC neutrality; Netflix can't open uploads; tool vendors can't rank their own customers' work). EU AI Act labeling rules favor a compliance-native platform. The window before a tool vendor or YouTube verticalizes the category is an estimated 18–24 months.

MARKET OPPORTUNITY

TAM ~ $45B (indie/niche/transactional slice of the $720B global streaming market plus creator monetization). SAM ~ $3.5B (direct monetization of AI-native film in EN/EU markets over 5 years). SOM ~ $60–110M Year-5 gross billings; the base case models $21M — deliberately below the ceiling.

COMPETITIVE ADVANTAGE

- Curation as product: a quality gate (already built) that no open platform can copy without breaking its model.
- Supply-side alignment: rising 30→40% revenue tiers and a creator pool on subscription revenue.
- Multi-tool neutrality: partner to Runway/Pika/Luma/Kling rather than competing with any of them.
- Supply compounds: films stay in the catalog forever; creator LTV:CAC ~ 7x even on conservative assumptions.

BUSINESS MODEL

Marketplace take rate (60–70% of PPV), subscription (55% platform share after the creator pool), advertising from Year 3 (free tier), and featured placement. Reported on a net-revenue basis: base case grows from $0.07M (Y1) to $14.4M (Y5) net revenue, 85% Year-5 gross margin, approaching EBITDA breakeven exiting Year 5.

FUNDING REQUIREMENTS

Raising a $4.0M seed at $10–14M pre-money: 24–26 months of runway to Series A metrics (~$0.8–1M exit ARR, churn <7%/mo, 1,000+ films, 8K+ subscribers). Total capital to ~breakeven estimated at ~$19M across Seed, Series A (~$9M, Month 24–28) and Series B (~$6M).

KEY MILESTONES

When	Milestone
Month 0–6	50 founding creators recruited; 150–300 curated films live; engagement signal proven (D7 retention >25%)
Month 6–12	300+ active creators; first creators reach Growth tier; paid acquisition tests at CAC <= $35
Month 12–18	1,000+ films; 4–8K subscribers; M3 subscriber retention >55% proven
Month 18–24	~935 active creators, ~8.4K subscribers, ~$0.8M exit ARR — Series A raise
Month 24–36	Network-effect phase: 2,500 creators, 30K subscribers, ~$2.9M exit ARR

2. Market Analysis

Market	2026 (est.)	2030–32 (est.)	CAGR	Source / basis
AI video generation tools	$3.2B	$14–16B	28–35%	Grand View Research, MarketsandMarkets (2024–25 reports)
Global video streaming (OTT)	$720B	$1.9T	19–21%	Grand View Research; SVOD + AVOD + FAST
Creator economy	$250–300B	$480–600B	12–15%	Goldman Sachs (2023, updated); SignalFire
Independent film prod. & distribution	$15–20B	$25–30B	6–8%	IBISWorld / Statista segments
AI-generated entertainment (nascent)	$1–2B	$10–25B	>50% (small base)	Bottom-up estimate; no analyst category yet

Market sizes are compiled estimates from public research and should be treated as directional; the nascent AI-entertainment category in particular has no established analyst coverage. The investable claim is narrower and more defensible: tool subscriber bases (Runway, Pika, Luma, Kling, Sora and the open-source ComfyUI/SD ecosystem) collectively exceed several million active creators producing film-form content with no monetization rails.

TAM / SAM / SOM

Tier	Size	Basis
TAM	$45B	~6% of global streaming spend addressable by indie/niche/transactional content, plus creator-monetization tooling
SAM	$3.5B	Direct monetization of AI-native films (PPV + niche SVOD + creator services), English-speaking + EU markets, 5-yr horizon
SOM (Y5)	$60–110M	Obtainable Year-5 gross billings at 1.7–3% SAM share. Base case models $21M gross billings — below the SOM ceiling by design

KEY TRENDS

- Production cost collapse: a watchable short film now costs <$500 in tooling/compute versus $50K+ three years ago.
- No incumbent treats AI film as a first-class category — distribution is the open layer of the stack.
- Creator monetization is shifting from ad-share to direct fan payment (memberships, PPV) — structurally favorable to a take-rate marketplace.
- Regulatory pressure (EU AI Act labeling, US likeness laws) burdens general platforms and favors a curated, provenance-first platform.
- FAST/AVOD growth proves audiences adopt new low-cost content brands when discovery is good.

3. Competitive Landscape

Player	Strengths	Weaknesses	YouMakeTV opportunity
YouTube	2.5B+ MAU; free; best discovery & infra	AI films buried; $1–3 RPM can't fund serious work; no PPV-first model	Premium curated home where creators earn per view; use YouTube as trailer funnel
Vimeo OTT	Mature paywall tech; ~90% creator share	Zero audience — creators bring all traffic; declining brand	Provide the audience + discovery Vimeo never built; target churners
Patreon	8M+ paying members; recurring mechanics	Not a viewing destination; no discovery; weak video UX	Membership-style follows + actual streaming; acquisition list of film creators
Kickstarter	Proven film-funding behavior	One-shot funding; no distribution or recurring revenue	Funnel partner: funded films need a distribution home
Netflix	Brand; $17B+ content budget; 300M+ subs	Closed; no indie/AI submissions; not a marketplace	Be the open marketplace Netflix structurally can't be; license breakouts upward later
Prime Video Direct	Huge audience; self-serve	Cutting royalties; restricting AI content; opaque payouts	Rejected/demonetized PVD creators are a motivated, reachable segment
TikTok	Distribution engine; AI content thrives	No long-form monetization; no PPV; US regulatory risk	Top-of-funnel only (trailers, clips)
Reelmind & AI-UGC communities	AI-native positioning; early communities	Tool-first; shallow monetization; no curation	Out-execute on curation/payouts; recruit their frustrated creators
Runway / Pika / Luma / Kling	Own creator relationships; strong AI-video brands; festivals	Monetize creation, not distribution; can't rank their own customers	Partners, not rivals: "made with Runway → premiered on YouMakeTV"
OpenAI Sora ecosystem	SOTA generation; social feed; massive attention	Feed is remix-social, not film-length; payouts immature; ambitions uncertain	Move fast to own "AI film as premium content" before a tool vendor verticalizes — the biggest risk and the biggest validation

Positioning: YouMakeTV is the only player combining an AI-native curated catalog, per-title sales, a viewer subscription, and a creator revenue share that scales with success. The missing piece — a built-in audience — is precisely what the seed round funds.

4. Creator Acquisition Strategy

Year-1 plan: ~$140K across 11 channels with modeled capacity of ~3,000 signups against a 500-signup base-case target (2x+ buffer — channels underperform, plans shouldn't). Full channel math (reach, engagement, conversion, CAC formulas) is editable in the workbook (GTM-Creators sheet).

Channel cluster	Year-1 cost	Expected signups	CAC	Core tactic
Tool communities (Runway, Sora, Pika, Kling, Luma, Midjourney)	$53K	~1,100	$45–50	Discord partnerships, creator challenges, festival pipelines (Runway AIFF), "Sora-to-screen" guides
Open-source (ComfyUI / SD / Flux)	$10K	~350	~$29	GitHub/Reddit presence; workflow-to-film tutorials; highest skill density
Reddit + Discord + X	$28K	~900	~$31	Founder-led content; payout receipts; AMAs; screening nights
Facebook/LinkedIn + indie filmmakers	$13K	~240	~$54	Hybrid filmmakers adopting AI; film-school outreach
Influencers (10–15 AI-educator sponsorships)	$36K	~1,080	~$33	$1.5–3K per sponsored video; mid-tier (50–300K followers)

- Founding 50: hand-recruited festival winners and viral AI-short creators. Guaranteed placement + 0% take on first $500. CAC ~ $0 cash.
- Activation (signup → publishes an approved film): 45–65% scenario range, driven by white-glove onboarding for the first 200 creators.
- Referral program from Month 6 ($50 per activated referral) — expected to be the cheapest channel by Year 2.
- Discipline: kill any channel above $80 CAC after two quarters; blended target <= $40.

5. Viewer Acquisition Strategy

Channel plan totals ~$505K (full Year-1 + early Year-2 budget; the model's Year-1 marketing line is gated lower until retention proof). Blended target CAC <= $40 falling to <= $25 by Year 2. All CPM/CTR/conversion cells editable in the workbook (GTM-Viewers sheet).

Channel	Budget	Key assumptions	Payers	CAC
Paid search (Google)	$60K	~$2.50 CPC, 12% signup, 18% paid — high intent, small market today	~1,000	$58
Meta / IG Reels ads	$90K	$9 CPM, 1.2% CTR, 10% signup, 10% paid — trailer-led creative	~1,200	$75
TikTok ads	$60K	$6 CPM, 1.5% CTR, 8% × 8% — younger, lower intent	~960	$63

YouTube pre-roll	$80K	$12 CPM, 1.0% CTR, 12% × 12%	~960	$83
Display / programmatic	$20K	Capped test — weak intent	~125	$160
Retargeting	$30K	2.5% CTR, 18% × 22% — best paid channel; needs pixel base	~2,376	$13
SEO & content hub	$25K	120K organic visits Y1; compounds from Month 6	~1,400	$18
Owned YouTube/Shorts	$30K	2M trailer/clip views	~1,600	$19
Owned TikTok/Reels	$20K	Clip factory from catalog	~900	$22
Influencers (film/AI reviewers)	$45K	8–12 sponsorships; converts 2–3x paid ads	~1,500	$30
Creator affiliates	$15K	20% of referred first-year revenue to creators — the cold-start cheat code	~2,500	$6
PR & festivals	$30K	Launch story + AI film awards; drives brand search	~700	$43

Spend gates: paid budgets unlock only after D7 viewer retention >25% and trailer→film conversion >15% on the founding catalog — do not buy traffic into a leaky funnel.

6. Marketplace Bootstrapping (Cold Start)

The core insight: supply doesn't churn. A film, once approved, sits in the catalog forever; viewers churn monthly. Therefore seed supply first, concentrate demand on a small curated catalog, and let payouts recruit the next wave of creators.

	Phase 1 — Seed supply (M0–6)	Phase 2 — Prove demand (M6–18)	Phase 3 — Network effects (M18–36)
Creators	50 founding creators (hand-picked); 150–300 films	300–500 active; 1,000–1,800 films; first Growth-tier graduates	1,500–3,000 active; 5,000–12,000 films; top creators at $2–5K/mo
Viewers	3–5K registered — for signal, not scale	30–120K registered; 1.5–8K subscribers	300K–1M registered; 30K+ subscribers
Mechanics	Guaranteed >=500 impressions per approved film; weekly themed premieres	Editorial front page; creator affiliate links (20% of referred revenue)	Personalized discovery; genre verticals; series/seasons
Gate to next phase	D7 retention >25%; >40% of invited creators publish	CAC <= $35; M3 subscriber retention >55%	Organic/referral >40% of signups; blended CAC <$30

MINIMUM VIABLE LIQUIDITY — WHEN NETWORK EFFECTS START

Dimension	Threshold	Rationale
Films	~1,000 quality titles	Shudder and Dropout demonstrate retention with 200–600 titles; 1,000 gives genre depth
Active creators	~400–600	Sustains ~30 new releases/week — enough newness for weekly visits
Subscribers	~25–30K	~$2.5M ARR funds $1M+/yr creator-pool payouts — the platform becomes self-evidently worth creators' time
Timeline	Month 24–30 (base case)	Matches model: Year-3 exit ~ 30K subscribers, ~2,500 creators, ~13K films

Honest kill criteria: if <40% of invited creators publish in Phase 1, the value proposition is wrong — fix payouts/onboarding before scaling. If M3 subscriber retention stays <40% despite curation, the standalone-destination thesis fails and the company pivots to B2B licensing / white-label AI-content supply.

7. Financial Plan (Base Case)

Full formula-driven model in YouMakeTV_BusinessPlan.xlsx (scenario switch: Conservative / Base / Aggressive; every driver editable). Figures below are the base case; revenue is shown net of creator payouts — the comparable basis for marketplace businesses.

	Y1	Y2	Y3	Y4	Y5
Gross billings	$0.12M	$0.67M	$2.82M	$8.69M	$21.4M
Creator payouts	$0.05M	$0.27M	$1.07M	$3.03M	$6.96M

Net revenue	$0.07M	$0.40M	$1.75M	$5.66M	$14.4M
Gross margin	70%	75%	80%	83%	85%
Payroll	$0.87M	$1.74M	$3.19M	$5.22M	$6.96M
Marketing	$0.17M	$0.49M	$1.20M	$2.27M	$3.57M
EBITDA	–$1.27M	–$2.35M	–$3.67M	–$3.95M	–$0.19M
Exit MRR (subs)	$12K	$67K	$244K	$640K	$1.41M
Exit ARR (subs)	$0.15M	$0.81M	$2.92M	$7.67M	$16.9M
Subscribers (exit)	1,516	8,398	30,475	80,041	175,912
Active creators	275	935	2,475	5,225	9,625
Films in catalog	963	4,235	12,898	31,185	64,873
Ending cash (with raises)	$2.7M	$0.4M	$5.7M	$7.8M	$7.6M

- Scenario range (Y5 net revenue): Conservative $3.5M · Base $14.4M · Aggressive $53.9M (aggressive turns EBITDA-positive in Y4: +$4.2M, then +$26.3M in Y5).
- Expense coverage: payroll, infrastructure/streaming/storage, AI + human moderation, marketing, legal/compliance, support and payment processing are each modeled as separate driver-based lines.
- Cash plan assumes Seed $4M now, Series A ~$9M in Year 3, Series B ~$6M in Year 4 (editable "New funding" row in the model).
- Sobriety checks built in: 8%→5.5%/mo churn (niche-SVOD reality), paid-led early growth, no virality, ad revenue only from Year 3.

8. Fundraising Strategy

Recommendation: skip a separate pre-seed and raise a single $4.0M seed now. Rationale: the product is already built (pre-seed's usual purpose), the open question is traction, and answering it credibly takes 24 months of runway — a $1M pre-seed would force a fundraise mid-experiment.

	Scenario A — Lean	Scenario B — Recommended	Scenario C — Market leader
Raise	$2.0M	$4.0M	$7.0M
Runway	18–20 months	24–26 months	~30 months
Team size	~6	~12 by Year 2	~18
Milestones	300 creators · 1,500 films · retention proof · ~$0.4M ARR	935 active creators · 4,200 films · 8.4K subs · ~$0.8M exit ARR · Series A-ready	2,200 creators · 12.5K films · 18.5K subs · ~$2M exit ARR
Risk profile	Bridges into the Series A raise; one missed quarter = distress	One-quarter buffer; clean A story	Only at a competitive/preempted round; dilution-heavy if priced low

9. Use of Funds ($4.0M Seed)

Category	%	$	What it buys
Engineering & Product	38%	$1.52M	4–5 engineers + design: recommendations, payout infra, TV/mobile apps, creator analytics
Growth & Marketing	24%	$0.96M	Creator + viewer GTM per channel plans; gated on retention milestones
Content & Creator Success	14%	$0.56M	Founding-creator incentives, curation team, festivals, creator success managers
Trust, Safety & Moderation	8%	$0.32M	Human review ops, AI screening, provenance verification, copyright handling
Infrastructure	6%	$0.24M	Streaming/CDN, storage, transcoding capacity
Legal & Compliance	5%	$0.20M	AI-content policy counsel, licensing framework, payout/KYC compliance
Operations & Buffer	5%	$0.20M	Finance ops, insurance, contingency

10. Hiring Plan (Years 1–3, Base Case)

Role	Loaded salary	Y1	Y2	Y3
CEO (founder)	$120K	1	1	1
CTO / founding engineer	$140K	1	1	1
Full-stack engineers	$160K	1.5	3	5
ML / moderation engineer	$175K	—	1	2

Product designer	$140K	0.5	1	1.5
Head of Content / Curation	$130K	0.8	1	1
Creator Success managers	$95K	0.7	2	4
Growth / performance marketer	$135K	0.4	1	2
Content & social lead	$90K	0.2	1	2
Customer support	$65K	0.1	1	2.5
Finance / ops (fractional → FTE)	$110K	0.3	0.5	1
Trust & safety / moderation ops	$80K	0.5	1.5	3
TOTAL (avg FTEs / payroll)		7.0 / ~$0.9M	15 / ~$1.9M	26 / ~$3.3M

FTEs are year-averages (0.5 = mid-year hire). Salaries fully loaded (base + taxes + benefits + equipment), US-remote blend; 30–40% savings available via EU/LatAm engineering. Curation and creator success are staffed like product roles — they are the moat.

11. Unit Economics

Subscribers (YouMake+)	Worst	Base	Best
Net ARPU ($/mo after creator pool)	$3.50	$4.39	$5.39
Monthly churn	9.0%	6.5%	4.5%
CAC	$35	$25	$16
LTV	$27	$80	$98
LTV : CAC	0.8x	3.2x	6.1x
Payback	14 mo	~7 mo	~4 mo

PPV buyers	Worst	Base	Best
Net revenue / transaction	$2.03	$2.81	$3.61
Lifetime transactions	3	6	10
CAC (must be near-organic)	$8	$4	$2
LTV / LTV:CAC	$6 / 0.8x	$17 / 4.2x	$36 / 18x

Creators (supply side)	Worst	Base	Best
CAC per activated creator	$130	$73	$46
24-month LTV (platform net revenue)	$200	$500	$1,200
LTV : CAC	1.5x	6.8x	26x

- Read-through: base-case subscriber economics clear the 3x bar with ~7-month payback — fundable, not exceptional. The lever is churn: +/-1pt monthly churn ~ +/-$11 LTV. Churn is the metric to underwrite before scaling spend.
- PPV is margin-rich but cannot absorb paid CAC; it monetizes organic traffic and feeds subscription conversion.
- Creator-side LTV:CAC ~ 7x is the model's quiet strength: supply compounds while demand churns.
- Worst-case subscriber economics are NOT viable (0.8x) — stated plainly because the plan's spend gates exist precisely to avoid scaling into them.

12. Risks & Mitigations

Risk	L / I	Mitigation
Copyright & IP (AI films embedding protected characters, music, likenesses; upstream training-data litigation)	High / High	Pre-publication review (built); music/character fingerprinting; creator warranties + indemnification; DMCA program; E&O insurance; provenance metadata required; legal budget scales 2.8x by Y5

AI regulation (EU AI Act labeling, US deepfake/likeness laws)	Med-High / Med	Labeling is the platform default — regulation that burdens open platforms is a tailwind for a compliance-native one; counsel on retainer; geo-gating capability
Moderation failure (deepfakes of real people, harmful generated content)	Med / High	100% human review pre-publication (feasible to ~30K films/yr); AI screening layer; likeness verification; KYC at payout
Fraud (view-count gaming of revenue tiers, stolen cards, self-dealing)	Med / Med	Paid-view definition = watch-time + settled payment; 30-day payout holds; device/IP anomaly detection; chargeback reserves
Content quality / lemon market ("AI slop" floods catalog)	High / Med	Curation IS the product: approval gate, 60–80% expected early reject rate, quality-weighted discovery, editorial front page
Competition (OpenAI/YouTube/Runway verticalizes AI film)	Med-High / High	Speed to liquidity; multi-tool neutrality (creators won't hand distribution to one tool vendor); curation brand; payout relationships
Funding risk (selective consumer-marketplace appetite; AI premium may fade)	Med / High	Raise 24 months (not 18); milestone-gated spend; B2B licensing pivot preserved as revenue backstop
Demand risk (will people pay to watch AI films?) — the core unproven assumption	Med-High / Very High	This is what the seed exists to answer. Phase-gated spending with explicit kill criteria; no scale marketing before D7 >25% and M3 retention >55% are proven

13. Valuation Analysis

Round	Milestone basis	Valuation (post)	Dilution	Comparables & basis
Pre-seed (if taken)	MVP live, pre-traction	$5–8M cap (SAFE)	10–15%	2025–26 US pre-seed medians ~$5–7M (Carta) + AI-consumer premium
Seed (recommended)	MVP + founding creators signed	$14–18M post ($4M on $10–14M pre)	22–28%	Carta 2025 seed medians ~$15M post for consumer marketplace; AI-content upper band. Reference points: Patreon seed (era-adjusted), Nebula (~$50M, bootstrapped), early Vimeo OTT
Series A	M20–28: $1.5–2.5M ARR, 4–5x YoY, churn <7%/mo, 1,000+ films	$45–70M post ($9–12M raise)	18–22%	8–15x forward net revenue for marketplaces + AI premium; consumer-sub As at ~$2M ARR priced $40–60M in 2024–25 vintage
Series B (illustrative)	Year 4: $8–12M net revenue run-rate	$120–200M	15–20%	Contingent on take-rate durability and EBITDA trajectory

- These valuations assume milestones are met; pre-traction, price reflects team + thesis + working product — $10–14M pre is the defensible 2026 range, not higher.
- Anchor on NET revenue multiples; quoting gross-billings multiples damages credibility with marketplace-literate investors.
- The AI-content sentiment premium may compress; the base case is built to support a Series A on metrics, not hype, by Month ~24–28.
- Founder dilution through Series A ~ 40–45% cumulative including ~10% ESOP refresh.

Prepared June 2026. Companion files: YouMakeTV_BusinessPlan.xlsx (fully editable, formula-driven model — scenario switch on the Assumptions sheet) and YouMakeTV_Investor_Deck.pptx. Market figures are estimates from cited public research; projections are illustrative and depend on stated assumptions.